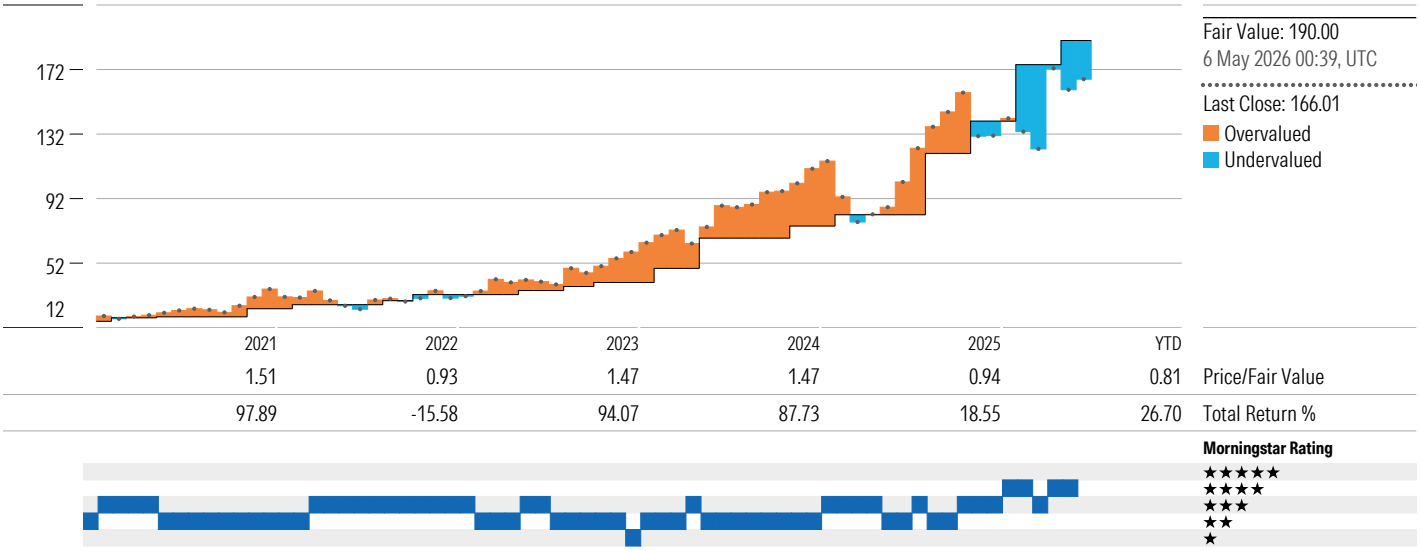
Arista Networks Inc ANET ★★★★ 5 Jun 2026 21:39, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
166.01 USD 4 Jun 2026	190.00 USD 6 May 2026 05:39, UTC	0.81	194.25 USD Bil 5 Jun 2026	Wide	Large Growth	High	Exemplary

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	1.51	0.93	1.47	1.47	0.94	0.81	Price/Fair Value
	97.89	-15.58	94.07	87.73	18.55	26.70	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 04 Jun 2026. Last Close as of 04 Jun 2026. Fair Value as of 6 May 2026 00:39, UTC.

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The primary analyst covering this company does not own its stock.

'The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Arista Earnings: Take the Opportunity to Buy in After a Lighter Beat-and-Raise Than Usual

Analyst Note William Kerwin, CFA, Senior Equity Analyst, 6 May 2026

Arista Networks' first-quarter revenue and operating margin came in ahead of guidance, and management raised its full-year outlook for total revenue and artificial intelligence revenue. Shares dropped 13% after hours, likely due to full-year guidance missing even stronger expectations.

Why it matters: Arista's fundamentals are excellent. First-quarter revenue rose 35% year over year, and second-quarter guidance implies 29% year-on-year growth. AI infrastructure spending is supporting robust networking demand, benefiting Arista in the medium term, in our view.

- Investors are used to beat-and-raises, as Arista guides conservatively. New guidance met our above-sell-side-consensus model, which was likely below buy-side investor "bogeys." We focus on the long-term growth trend, which is highly positive, as we know AI sales can be lumpy quarter to quarter.
- Arista again noted supply constraints, with lead times reaching 52 weeks. We view 35% growth as extremely impressive amid supply constraints. We expect supply to undershoot demand for the foreseeable future, lengthening the current period of immense shipment growth for Arista.

The bottom line: We raise our fair value estimate for wide-moat Arista to $190 from $175, driven by a stronger forecast for high-speed data center revenue growth over the next three years. After the aftermarket selloff, we see shares as attractive.

- We forecast above management guidance, at 30% growth in 2026. Thereafter, we project 25%

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Sector	Industry
Technology	Computer Hardware

Business Description

Arista Networks is a networking equipment provider that primarily sells Ethernet switches and software to data centers. Its marquee product is its extensible operating system that runs a single image across every single one of its devices. The firm operates as one reportable segment. It has steadily gained market share since its founding in 2004, with a focus on high-speed applications. Arista counts Microsoft and Meta Platforms as its largest customers and derives roughly three-fourths of its sales from North America.

revenue growth in 2027 and 20% in 2028, followed by midteens growth. On top of this, we expect modest non-GAAP operating margin expansion to 49% by 2028, up from 48% in 2025.

Coming up: Specifically, Arista raised its 2026 sales guide to $11.5 billion (from $11.25 billion) and its 2026 AI sales guide to $3.5 billion (from $3.25 billion). The entire higher guide is generated by AI. We model $200 million above both these figures, and view management's outlook as conservative.

Business Strategy & Outlook William Kerwin, CFA, Senior Equity Analyst, 6 May 2026

We view Arista Networks as the technology leader in high-speed switching for enterprise networking. We expect Arista to maintain its high market share at the highest speeds and for it to augment its share in lower speeds and campus applications where it has historically been less penetrated. In our view, Arista's software gives it a structural and durable competitive advantage over competitors in winning new customers, both in the cloud and in the enterprise. We believe this software-led approach provides the firm with a wide economic moat.

Arista's performance at high speeds and its software-led approach set it apart from other networking equipment providers. Its Extensible Operating System gives customers a highly programmable and modular solution that can scale up and down for networks of any size. Arista has forgone the proprietary hardware-plus-software lock-in approach of Cisco in favor of utilizing cutting-edge merchant silicon and focusing on software development, which allows the firm to offer top-tier performance at a competitive price point. We think its software focus has generated significant intangible assets and embeds it deeply with customers.

We believe Arista will see durably high growth from surging spending toward artificial intelligence. AI networks require the highest speeds available to train and infer upon models using many GPU clusters talking to each other. We believe Arista's strong position in high-speed switching will make it a meaningful beneficiary of AI spending. We forecast AI to become a primary driver for the firm over the next five years.

Arista is looking to expand from its high-speed cloud heritage into the larger (and in our opinion, slightly stickier) enterprise market. Arista first established itself in the most cutting-edge applications for hyperscalers, but we believe its modular software approach will prove attractive for smaller enterprises building out private clouds or on-premises data centers. Finally, we expect Arista to maintain an excellent profit profile, even with a robust research and development budget maintaining its intangible assets and its ability to exact pricing power.

Bulls Say William Kerwin, CFA, Senior Equity Analyst, 6 May 2026

- Arista Networks has gained a top market share position in high-speed switching, resulting, in our view, from technology leadership, and it continues to gain share.

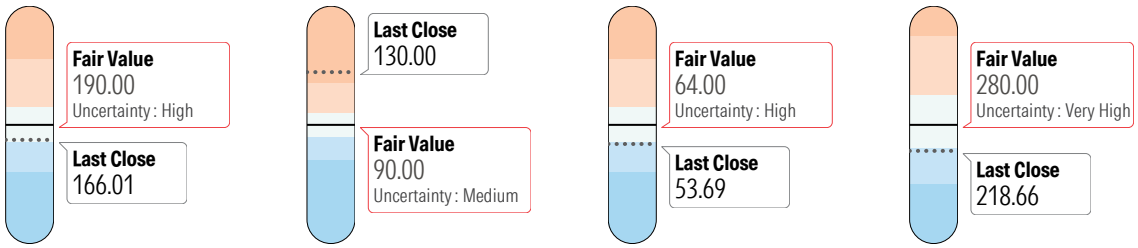
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Competitors



	Arista Networks Inc ANET	Cisco Systems Inc CSCO	Hewlett Packard Enterprise Co HPE	NVIDIA Corp NVDA
Economic Moat	Wide	Wide	None	Wide
Currency	USD	USD	USD	USD
Fair Value	190.00 5 Jun 2026 16:39, UTC	90.00 5 Jun 2026 16:29, UTC	64.00 5 Jun 2026 16:37, UTC	280.00 5 Jun 2026 16:27, UTC
1-Star Price	294.50	121.50	99.20	490.00
5-Star Price	114.00	63.00	38.40	140.00
Assessment	Undervalued 5 Jun 2026	Overvalued 5 Jun 2026	Undervalued 5 Jun 2026	Undervalued 5 Jun 2026
Morningstar Rating	★★★★5 Jun 2026 05:00, UTC	★5 Jun 2026 05:00, UTC	★★★★5 Jun 2026 05:00, UTC	★★★★5 Jun 2026 05:00, UTC
Analyst	William Kerwin, Senior Equity Analyst	William Kerwin, Senior Equity Analyst	Eric Compton, Director	Brian Colello, Senior Equity Analyst
Capital Allocation	Exemplary	Exemplary	Standard	Exemplary
Price/Fair Value	0.81	1.35	0.77	0.73
Price/Sales	21.79	7.98	1.86	19.79
Price/Book	15.50	9.81	2.81	25.41
Price/Earning	56.85	40.55	49.71	31.41
Dividend Yield	0.00%	1.36%	1.11%	0.14%
Market Cap	194.25 Bil	479.44 Bil	65.15 Bil	4,967.73 Bil
52-Week Range	85.58—179.80	63.87—130.37	17.49—64.25	138.83—236.54
Investment Style	Large Growth	Large Blend	Mid Blend	Large Growth

- Arista holds best-in-class profit margins and earns robust economic profits, reflecting its strong value proposition and wide economic moat.
- Arista earns heady free cash flow, which it can use for organic investment and shareholder returns.

Bears Say William Kerwin, CFA, Senior Equity Analyst, 6 May 2026

- Arista Networks has a weaker position in areas of networking outside high-speed switching and may struggle to expand into adjacent markets.
- We see higher competition for Arista within generative AI spending, with Nvidia holding a large incumbency via bundles of its proprietary networking equipment with its GPUs.
- Arista's acquisition history is small and new, and it could risk destroying shareholder value with ill-advised deals.

Economic Moat William Kerwin, CFA, Senior Equity Analyst, 19 Oct 2022

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We assign Arista Networks a wide economic moat rating based on intangible assets in high-speed networking and customer switching costs. We view Arista's high-speed switches and software-led approach as significantly differentiated from other networking competitors and very difficult to replicate. We expect strength in high-speed switching to generate economic profits for Arista, more likely than not, over the next 20 years.

Arista's networking switches for high-speed applications are best of breed, in our view, resulting from a software-led approach over its networking hardware. Arista's specialty within networking is high-speed switches, at speeds of 100 gigabits or more, that are designed for data centers. These switches create a local network to then connect to a wider network and the internet. Data traffic continues to explode, increasing the need for Arista's gear, in our view.

We believe Arista's high-speed switches are the preferred option of both public cloud providers and enterprises building private clouds, and it occupies roughly one third of the market for 100-gigabit ports and faster. It has gained this share steadily since its founding in 2004 and has dethroned networking colossus Cisco at high speeds. We believe Arista's share gains are the result of fundamentally better performance at higher speeds and a software-led approach that outsources semiconductor development to merchant silicon from the likes of Broadcom and Marvell.

Arista's extensible operating system sets it apart from Cisco and other networking players and represents considerable intangible assets, in our view. We see Arista's differentiation clearly in its first-class gross profit margins—rivalled only by Cisco (with which it is neck-and-neck) in networking equipment providers.

Arista's decentralized software is the product of nearly two decades of development—moving from system-based software initially to a newer database and data lake approach. EOS presents a unique value proposition: its decentralized and open structure makes it appealing to hyperscalers with large IT teams that want to fine-tune software for mass deployment, while its robust array of features and modular APIs makes it easy to deploy for smaller-scale enterprise data centers. For all customers, Arista's single image and fault-containment offer the possibility of easier network upgrades and lower downtime.

This contrasts with a networking competitor like Cisco, which focuses on features but locks customers into a closed ecosystem of chips, hardware, and software, all of which generate significant switching costs at their respective customers. We don't foresee Cisco abandoning its walled garden in favor of Arista's open approach. An existing networking competitor would have to rebuild its software platform to rival EOS' decentralization and single image, and likely risk an inferior product lacking over a decade of evolution and fine-tuning based on customer feedback. On the other hand, an aspirational new entrant would find it difficult to build out an equally rich feature set of code and match Arista's

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efficiency and security, even if it were to achieve hardware parity using merchant silicon.

We also see switching costs for Arista. We think networking equipment broadly carries switching costs for well-positioned providers. Arista's proprietary software and hardware configurations require training and certifications, requiring weeks of class, hours of testing, and thousands of dollars in expense. Furthermore, networking setups take months to implement and years to optimize—Forrester claims that a typical business doesn't fully utilize the value of new networking technology for two years. If a company were to switch away from Arista, it would require wholesale retraining of its workforce under a new vendor, inclusive of the time and expense to do so. Furthermore, an IT department would spend the time and expense of getting the new network off the ground and have to redesign workflows and processes to accommodate different software and optimize operations. Even cloud customers, which we typically think of as conducive to lower switching costs due to their multisourcing and disaggregated buying patterns, experience the stickiness of Arista equipment. Even if Arista isn't installed in an entire network, the portions in which it operates become sticky, as cloud customers develop workflows for, and write software on, EOS. We also view EOS as complementary to base software like Microsoft's SONiC or Meta's FBOSS. Microsoft, as an example, uses EOS working on top of SONiC for portions of its network, which gives it the programmability and features of EOS while maintaining consistency with other non-Arista portions of its network.

We view the combination of Arista's strength in networking hardware and software design with inherent switching costs to networking equipment as creating a wide economic moat to defend against competitive threats to economic returns for 20 years.

Fair Value and Profit Drivers William Kerwin, CFA, Senior Equity Analyst, 6 May 2026

Our fair value estimate for Arista Networks is $190 per share. Our valuation implies a 2026 enterprise value to sales multiple of 20 times and a 2026 adjusted price/earnings multiple of 52 times. Against our estimate of 2027 and 2028 non-GAAP earnings, our valuation implies multiples of 42 times and 34 times, respectively. The greatest drivers to our valuation are growth in high-speed data center switching as well as broad-based market share gains.

We forecast 22% compound annual sales growth through 2030 for Arista. Sales into data centers are the biggest contributor to sales over our forecast, and we model a 24% compound annual growth rate. We expect Arista's data center sales to increase faster than the market after 2026, with continued market share gains alongside Nvidia's networking portfolio, and against all other peers. In particular, we see Arista leading a shift to Ethernet connectivity in artificial intelligence cluster networking, and we expect Arista to take share in this rapidly growing market. We expect Arista to outperform its 2026 target of $3.25 billion in total AI revenue, which we see as conservative.

We expect significant share gains for Arista's campus portfolio as well, with the firm's campus revenue

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increasing 19% annually through 2030 in our model. We expect Arista to surpass management's $1.25 billion goal in 2026, inclusive of inorganic contribution from the firm's 2025 acquisition of VeloCloud from Broadcom. We think heightened product development and go-to-market investment will be key to Arista's penetration of these markets.

We forecast Arista's non-GAAP gross margin to remain in its target range of 62%-64%. While in prior years the firm eclipsed the top end of this range, we believe a higher mix of large cloud customers will keep gross margin at this relatively lower, but very healthy range. We model Arista's non-GAAP operating margin to remain in the high-40% range through 2030. We expect Arista to increase its expenses rapidly to pursue market share gains in enterprise and campus markets, but we simply expect revenue to increase too fast for the firm to lower non-GAAP operating margin to its target of 40%. This is a good problem to have, in our view, and we don't see our forecast for high operating margins implying underinvestment by the firm.

Risk and Uncertainty William Kerwin, CFA, Senior Equity Analyst, 14 Feb 2023

We assign Arista Networks with a High Morningstar Uncertainty Rating. Arista's sales are concentrated in the cloud networking market, which can exhibit cyclicality and lumpy spending patterns from customers. This lumpiness can be exacerbated by Arista's concentration in customers like Microsoft and Meta Platforms. Softer spending patterns at these customers can cause top-line performance to suffer, as seen in 2019 and 2020 when Meta skipped an upgrade cycle.

Arista is working to expand its presence in the larger enterprise market, both in on-premises data centers and campus environments. Arista's market share in on-premises data centers trails its presence in high-speed cloud setups, and it has historically not been a participant in campus. We think its efforts to penetrate these markets creates uncertainty. Arista breached the cloud market with cutting-edge high-speed performance, but it may struggle to match the comprehensive portfolio of Cisco—inclusive of cybersecurity and collaboration software—for smaller customers and campus environments. If it is unable to successfully make inroads, its performance could suffer.

On the environmental, social, and governance front, we foresee little risk for Arista. We view the biggest risk as a data or security breach via its equipment that could create permanent reputational harm for the firm, but we view this risk as low.

Capital Allocation William Kerwin, CFA, Senior Equity Analyst, 6 May 2026

We assign Arista Networks with an Exemplary Morningstar Capital Allocation Rating, based on our assessments of a sound balance sheet, exceptional investments, and appropriate shareholder distributions. Arista's balance sheet is strong and provides the firm with flexibility. It has no gross debt and more than $10 billion in cash and short-term investments. We also view its newfound share repurchase program as appropriate. We expect the firm to maintain annual buybacks in excess of what

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it needs to offset dilution from share-based compensation now that it generates heady cash flow and can earn operating leverage.

Arista's investments have been exceptional, in our view. The firm has focused on organic investment for most of its history, of which we approve. We view positively its strategy of using cutting-edge merchant silicon and focusing its development on software, which has led, in our opinion, to its wide economic moat. As a larger company, we think its recent small acquisitions have been prudent to expand into adjacent markets and round out its portfolio, but we continue to like that its primary investment is organic.

Analyst Notes Archive

Arista Earnings: AI Keeps the Beat-and-Raises Coming and Gives Investors Opportunity William Kerwin, CFA,Senior Equity Analyst,13 Feb 2026

Arista Networks' fourth-quarter results beat guidance, and the firm raised its 2026 outlook to $11.25 billion in sales (25% growth), up from $10.65 billion. Management also raised its 2026 artificial intelligence revenue guidance to $3.25 billion (more than 100% growth), up from $2.75 billion.Why it matters: Arista is enjoying immense AI infrastructure demand with its best-of-breed high-speed Ethernet portfolio. Shares have languished since the last earnings release due to a conservative outlook, and we agree with the market's positive response to higher guidance in 2026. AI infrastructure demand is ballooning, and networking connectivity is a crucial driver of AI model performance. We see Arista as the technology leader in AI Ethernet, alongside Nvidia. Huge capital spending increases from large AI model builders are constructive for the firm's results. The one nitpick in the results would be the implied slow growth for non-AI revenue in 2026. We aren't concerned, as we've expected AI spending to drive growth. We actually view steady, low growth in other markets as positive, with continued investment needed alongside AI buildouts. The bottom line: We raise our fair value estimate for wide-moat Arista to $175, from $140, as we bake in a higher AI spending forecast benefiting Arista's results. Shares rose more than 10% after hours on the raised outlook, but we still see upside from here for this high-speed technology leader. Arista is conservative in its guidance, and we model well above its outlook for 2026 across AI, total sales, and operating margin. We acknowledge the firm's low visibility into demand, but see AI demand continuing to drive stellar growth in the medium term. Positively, Arista expects a low impact from higher memory prices on its profitability. 2026 gross margin guidance of 62%-64% is in the firm's long-term range, and we see customer mix governing results in that range. Networking needs relatively little memory, helping Arista's margin.

Arista Earnings: Our AI Growth Optimism Rises, While After-Hours SellOff Opens Up Entry Point William Kerwin, CFA,Senior Equity Analyst,5 Nov 2025

Arista Networks' third-quarter earnings beat management guidance, with sales rising 28% year over

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year to $2.31 billion. Fourth-quarter guidance implies a deceleration of sequential revenue growth. Management raised its 2025 and 2026 guidance to factor in the results and near-term guidance.Why it matters: Arista is benefiting from strong data center and artificial intelligence networking demand, which is driving the majority of the firm's growth this year. We expect AI infrastructure buildouts to keep Arista's growth high in the medium term. We view Arista as a major share taker in high-speed networking for public clouds and AI. We see Arista and Nvidia as the best-of-breed Ethernet networking providers, and together leading the transition to Ethernet over Nvidia's proprietary InfiniBand. Arista is gaining meaningful market share in campus networks, too. The firm's guidance for more than 50% campus growth in 2026 is impressive and attainable, in our view. This is a minority contributor to total results, but we like Arista's widening exposure and market share gains. The bottom line: We raise our fair value estimate for wide-moat Arista to $140 per share, from $120, after raising our data center forecast. Shares fell 10% after hours, likely due to missing lofty investor expectations despite meeting FactSet consensus expectations. Arista looks fairly valued. Arista raised its 2026 guidance, but only by the amount of its higher 2025 guidance. We continue to see the firm's guidance as conservative, and model well above it. Our model comes in above $11 billion next year (24% growth), versus $10.65 billion guided (20%). Longer-term, we're confident in Arista maintaining close to 20% growth through the end of the decade, above management's midteens growth target. We see enduring AI infrastructure demand supporting our forecast, and Arista's high earnings multiple looks justified against strong growth.

Arista: Positive Analyst Day Targets Agree With Our Long-Term Thesis William Kerwin, CFA,Senior Equity Analyst,12 Sep 2025

Arista Networks' 2025 analyst day on Sept. 11 highlighted its long-term growth strategy. It gave 2026 guidance, including a sales target of $10.5 billion, with $2.75 billion in artificial intelligence sales. It also guided for midteens growth through 2029 off of the 2026 guidance levels.Why it matters: Arista largely reiterated its existing strategy, with an expected focus on its AI networking capabilities. Targets for 2026 and the longer-term growth outlook mostly agreed with our model. We continue to see AI as the firm's most promising growth opportunity over the medium term. We continue to see Arista's AI targets as conservative. We anticipate well above $3 billion in AI revenue next year, composed of both back-end networking in AI clusters and front-end networking that connects clusters to the internet to deliver inference outputs. Arista provided an aggressive campus target of $1.25 billion in 2026, up from its goal of $750 million in 2025. This beat our model, and reflects increasing momentum for Arista moving downmarket. We like campus and enterprise as sticky, secondary growth opportunities. The bottom line: We maintain our $120 per share fair value estimate for wide-moat Arista. Its strategy and financial targets agreed with our long-term thesis for Arista to continue taking share in AI to drive strong growth. Shares look moderately overvalued to us. We've raised our five-year campus growth target to accommodate Arista's updated guidance, and now anticipate campus products making up more than 10% of sales in 2026 and beyond. While this is positive, it continues to be a minority driver for Arista

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Arista Networks Inc ANET ★★★★ 5 Jun 2026 21:39, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
166.01 USD 4 Jun 2026	190.00 USD 6 May 2026 05:39, UTC	0.81	194.25 USD Bil 5 Jun 2026	Wide	Large Growth	High	Exemplary

compared with data center sales. We model 35% annualized growth for Arista's AI revenue through 2029, approaching half of sales by the end of the decade. We see Arista as best-of-breed for high-speed Ethernet switching, which we expect to enable further share gains in customers that historically used Nvidia's InfiniBand.

Arista Earnings: We Raise Our Forecast, and Valuation up to $120 From $82 After Blowout Quarter
William Kerwin, CFA,Senior Equity Analyst,6 Aug 2025

Arista Networks' second-quarter results crushed management guidance, and the firm significantly raised its full-year 2025 outlook. Revenue rose 30% year over year to $2.2 billion. 2025 guidance now calls for 25% revenue growth, to $8.75 billion, up from 17% growth. Why it matters: Arista's best-of-breed capabilities in Ethernet switching are firing on all cylinders as it continues to take market share. 2025 guidance beat our already-bullish estimates. Artificial intelligence and cloud spending are driving immense growth in 2025, which we expect to continue into the long term. Management now expects to beat its $1.5 billion AI revenue target for 2025, which we have viewed as conservative. We model well above $2 billion in AI revenue in 2025. We liked to hear about a proliferation of enterprise and small-cloud AI customers, in addition to large public cloud vendors. Strong results and guidance align with our bullish expectations for Arista to take share and be a technology leader in AI networking. We see Arista as the primary beneficiary and driver of the transition to Ethernet from Nvidia's proprietary Infiniband technology in generative AI networking. The bottom line: We raise our fair value estimate for wide-moat Arista Networks to $120 per share, from $82, after materially raising our long-term growth forecast. Shares rose 14% after-hours due to the big guidance raise and look slightly overvalued. AI is a primary driver of our forecast for Arista. We expect 35% compound annual growth for Arista's AI sales through 2029, approaching half of total sales by the end of the decade. In 2029, we model more than $7.5 billion in AI revenue, between back- and front-end infrastructure. We see high capital spending from marquee customers like Meta Platforms and Microsoft supporting our aggressive growth expectations for Arista. We expect Arista to be a preferred option in AI cluster networking where performance is the ultimate criterion.

Arista Earnings: We Applaud Terrific Results and See Guidance as Conservative William Kerwin, CFA,Senior Equity Analyst,7 May 2025

Arista Networks' first-quarter results beat management guidance, with revenue rising 28% year over year to $2.0 billion and non-GAAP operating margin expanding 40 basis points year over year to 47.8%. Second-quarter guidance calls for further growth, with a midpoint of $2.1 billion. Why it matters: Results and guidance met our above-consensus expectations, and continue to show terrific momentum for Arista's high-performance networking in cloud and artificial intelligence customers. We continue to see Arista as a long-term AI winner and overall technology leader in high-speed networking. Arista doesn't expect a material net impact from US tariffs. Management quantified the gross margin impact

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as roughly 1% to 1.5%, which it plans to mitigate via supply chain actions and pricing as needed. Management reiterated its 2025 growth guidance of 17% and its 2025 back-end AI revenue goal of $750 million, both of which we see as conservative. We don't expect a big tariff impact on demand, given Arista's technology leadership that will allow it to pass on higher prices to customers. The bottom line: We maintain our $82 fair value estimate for shares of wide-moat Arista, and see our long-term thesis for AI to drive excellent growth bearing out. Shares dipped 7% after-hours due to management maintaining, rather than raising guidance, and look fairly valued to us. Our growth forecast remains above Factset consensus over the next three years, predominantly driven by our expectations for robust AI networking growth. We see positive spending commentary from large customers like Meta Platforms supporting our bullish expectations. Arista has long been conservative in its guidance, for both the short and long term. Our forecast comes well above guidance (23% growth in 2025 versus 17% guided) and FactSet consensus estimates. We believe investors agree with our bullish forecasts, leaving shares fairly valued.

Arista Earnings: AI Growth Momentum Continues to Impress, but Shares Remain Lofty William Kerwin, CFA,Senior Equity Analyst,19 Feb 2025

Arista Networks' fourth-quarter results eclipsed all of management's guidance ranges. Revenue rose 25% year over year to $1.93 billion. First-quarter guidance implies more than 20% year-over-year growth, with a revenue midpoint of $1.95 billion. Why it matters: Results and guidance both were close to our above-consensus expectations. We believe Arista's strong growth over 2024 benefitted greatly from generative artificial intelligence investment, and we expect this dynamic to continue into 2025, with AI becoming a primary growth driver. Arista is enjoying strong placement in generative AI clusters. This aligns with our share-taking thesis for the firm, with its Ethernet switching portfolio winning over Nvidia's proprietary networking products due to better performance and higher interoperability. We see Arista's AI revenue targets as conservative, underrepresenting its total revenue opportunity from generative-AI investment. We expect its actual AI revenue in 2025 to be significantly above management's $1.5 billion target. The bottom line: We raise our fair value estimate for wide-moat Arista Networks shares to $82 from $75 as we raise our growth forecast slightly and incorporate the time value of money after rolling our model forward for another year. In our view, shares remain overvalued. Our forecasts for Arista's revenue and profitability in 2025 come in above management's guidance, which we see as conservative. Management already raised its expectations for 2025 revenue (to 17% growth, from a midpoint of 15%) a quarter after providing initial guidance. Despite beating FactSet consensus estimates, shares fell by 5% after-hours, indicating that investors in the stock had even higher expectations. We continue to see overly rosy growth expectations priced into the stock, even compared with our above-consensus forecasts over the next three years.

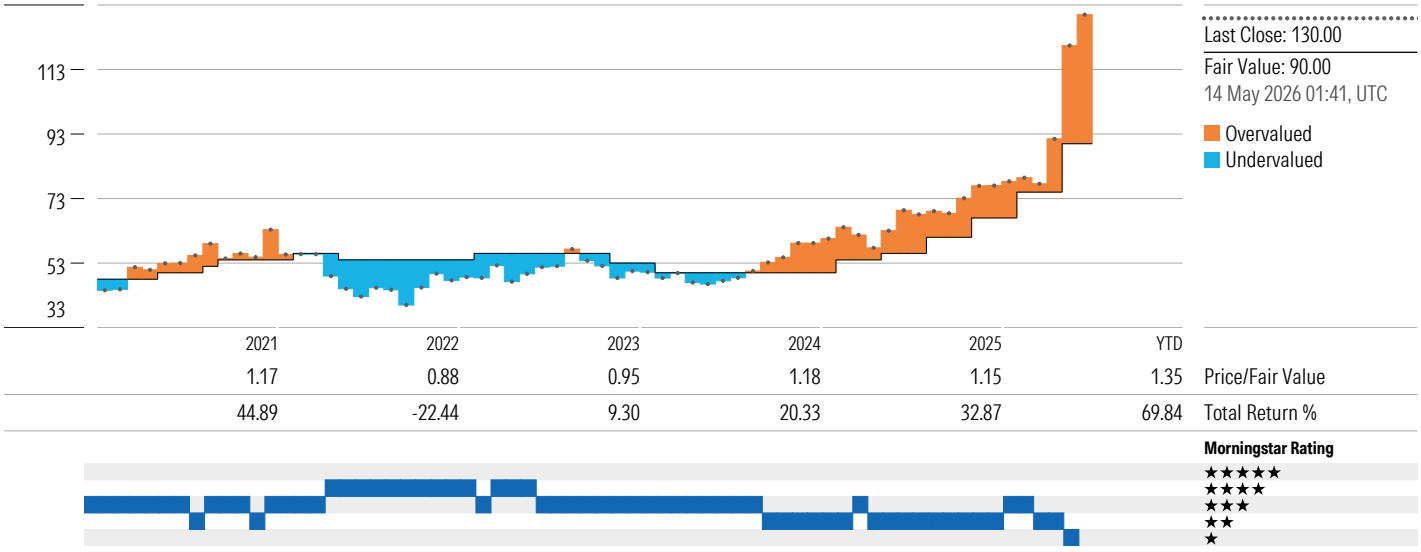
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Competitors Price vs. Fair Value

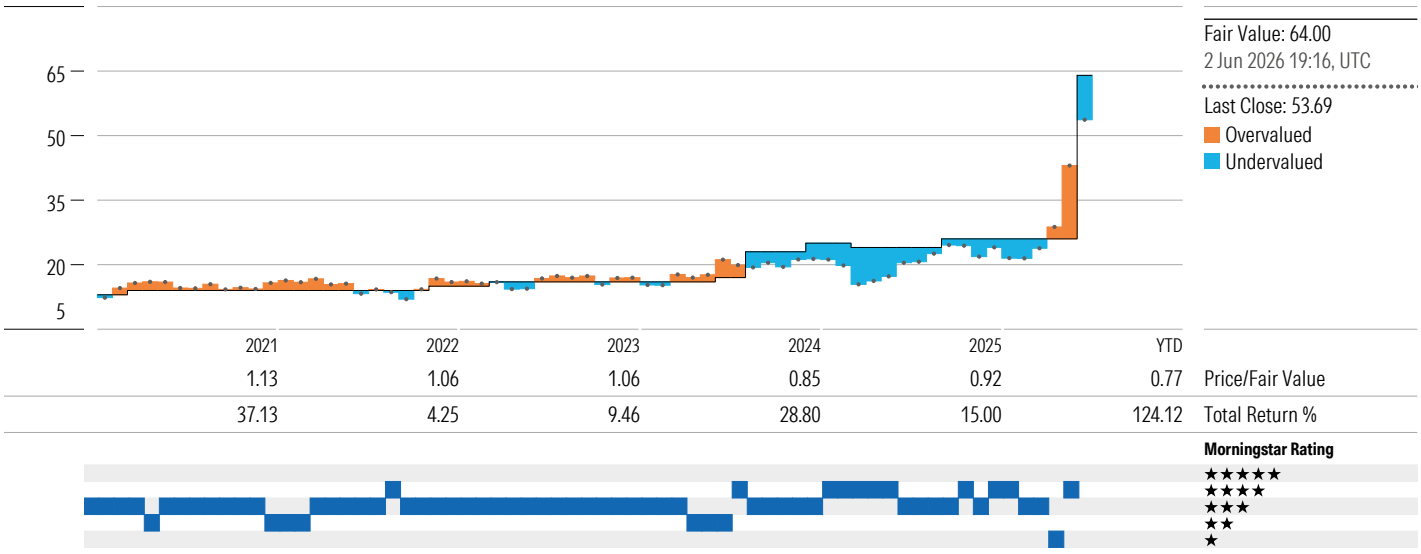
Cisco Systems Inc CSCO



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.17	0.88	0.95	1.18	1.15	1.35
Total Return %	44.89	-22.44	9.30	20.33	32.87	69.84

Total Return % as of 04 Jun 2026. Last Close as of 04 Jun 2026. Fair Value as of 14 May 2026 01:41, UTC.

Hewlett Packard Enterprise Co HPE



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.13	1.06	1.06	0.85	0.92	0.77
Total Return %	37.13	4.25	9.46	28.80	15.00	124.12

Total Return % as of 04 Jun 2026. Last Close as of 04 Jun 2026. Fair Value as of 2 Jun 2026 19:16, UTC.

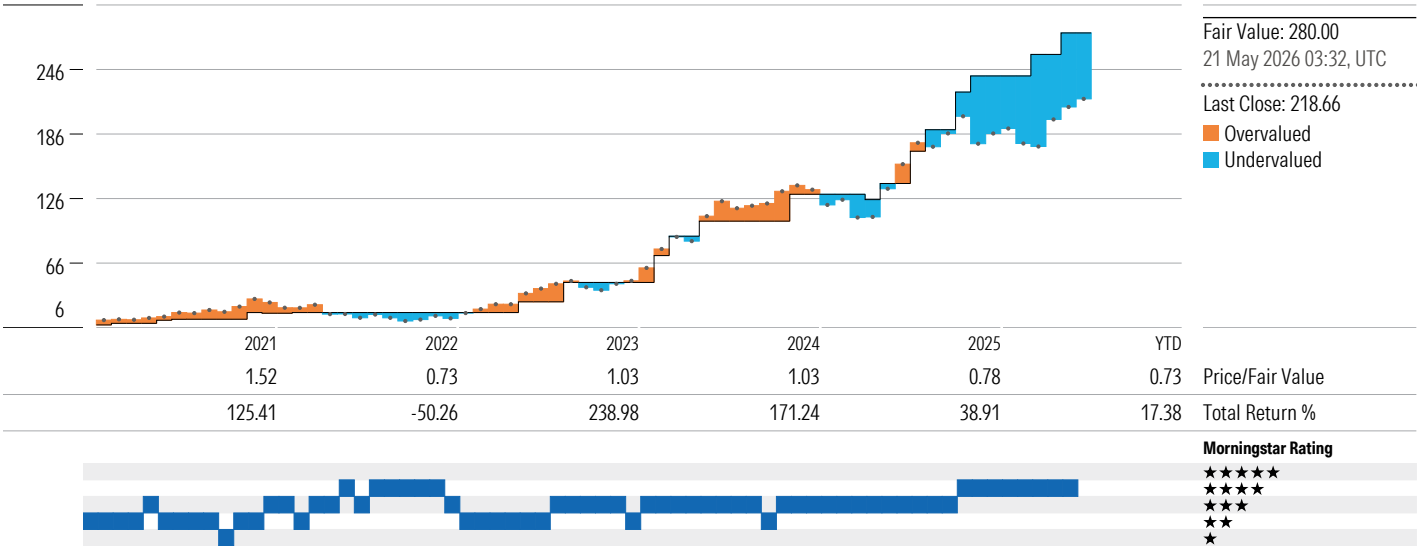
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Competitors Price vs. Fair Value

NVIDIA Corp NVDA



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.52	0.73	1.03	1.03	0.78	0.73
Total Return %	125.41	-50.26	238.98	171.24	38.91	17.38

Total Return % as of 04 Jun 2026. Last Close as of 04 Jun 2026. Fair Value as of 21 May 2026 03:32, UTC.

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Morningstar Valuation Model Summary

Financials as of 05 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	5,860	7,003	9,006	11,715	14,609	17,593	20,578	24,040
Operating Income (USD Mil)	2,257	2,945	3,856	5,020	6,413	7,874	9,279	10,912
EBITDA (USD Mil)	2,328	3,007	3,929	5,116	6,522	7,999	9,420	11,100
Adjusted EBITDA (USD Mil)	2,658	3,389	4,410	5,661	7,174	8,764	10,301	12,118
Net Income (USD Mil)	2,087	2,852	3,511	4,361	5,384	6,580	7,721	9,002
Adjusted Net Income (USD Mil)	2,201	2,908	3,802	4,667	5,706	6,955	8,152	9,569
Free Cash Flow To The Firm (USD Mil)	1,734	3,210	3,447	4,070	4,965	6,313	7,322	8,811
Weighted Average Diluted Shares Outstanding (Mil)	1,269	1,281	1,276	1,271	1,260	1,245	1,227	1,208
Earnings Per Share (Diluted) (USD)	1.65	2.23	2.75	3.43	4.27	5.29	6.29	7.45
Adjusted Earnings Per Share (Diluted) (USD)	1.74	2.27	2.98	3.67	4.53	5.59	6.64	7.92
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 05 May 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	41.1	38.5	42.1	42.8	42.9	43.9	44.8	45.1	45.4	44.4
EBITDA Margin %	—	39.7	42.9	43.6	43.7	44.6	45.5	45.8	46.2	—
Adjusted EBITDA Margin %	—	45.4	48.4	49.0	48.3	49.1	49.8	50.1	50.4	49.5
Net Margin %	38.4	35.6	40.7	39.0	37.2	36.9	37.4	37.5	37.5	37.3
Adjusted Net Margin %	40.4	37.6	41.5	42.2	39.8	39.1	39.5	39.6	39.8	39.6
Free Cash Flow To The Firm Margin %	37.9	29.6	45.8	38.3	34.8	34.0	35.9	35.6	36.7	35.4

Growth & Ratios as of 05 May 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	27.2	33.8	19.5	28.6	30.1	24.7	20.4	17.0	16.8	21.7
Operating Income Growth %	36.2	47.8	30.5	31.0	30.2	27.8	22.8	17.8	17.6	23.1
EBITDA Growth %	35.4	46.4	29.2	30.7	30.2	27.5	22.6	17.8	17.8	23.2
Adjusted EBITDA Growth %	33.4	43.0	27.5	30.1	28.4	26.7	22.2	17.5	17.6	22.4
Earnings Per Share Growth %	37.1	54.0	35.3	23.6	24.7	24.6	23.7	19.0	18.5	22.0
Adjusted Earnings Per Share Growth %	37.1	51.5	30.8	31.3	23.2	23.4	23.3	18.9	19.3	22.0

Valuation as of 05 May 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	33.8	48.7	44.0	42.0	34.1	27.6	23.2	19.5
Price/Sales	12.5	19.9	18.3	16.6	13.3	11.0	9.4	8.1
Price/Book	10.3	14.2	13.5	13.2	11.2	9.6	8.3	7.2
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	25.9	39.8	35.0	32.1	25.4	20.8	17.7	15.0
EV/EBIT	30.5	45.8	40.1	36.2	28.4	23.1	19.6	16.7
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 05 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	21.0	20.3	18.1	18.3	19.0	19.8	20.2	20.6
ROE %	28.9	28.5	28.4	29.5	31.2	32.9	33.8	34.6
ROIC %	45.3	52.1	64.6	72.7	78.3	80.6	81.4	83.0

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Assets/Equity	1.4	1.4	1.6	1.6	1.6	1.7	1.7	1.7
Net Debt/EBITDA	-2.2	-2.8	-2.7	-0.6	-0.6	-0.7	-0.7	-0.8
Total Debt/EBITDA	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EBITDA/ Net Interest Expense	-16.1	-10.6	-11.2	-14.2	-44.8	-54.8	-64.4	-75.7

Forecast Revisions as of 5 May 2026	2026		2027		2028	
Prior data as of 12 Feb 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	190.00	175.16	—	—	—	—
Revenue (USD Mil)	11,715	11,540	14,609	13,799	17,593	16,394
Operating Income (USD Mil)	5,020	4,869	6,413	5,858	7,874	7,072
EBITDA (USD Mil)	5,661	5,600	7,174	6,700	8,764	8,047
Net Income (USD Mil)	4,667	4,795	5,706	5,462	6,955	6,541
Earnings Per Share (Diluted) (USD)	3.43	3.47	4.27	4.02	5.29	4.89
Adjusted Earnings Per Share (Diluted) (USD)	3.67	3.77	4.53	4.34	5.59	5.26
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 05 May 2026

Cost of Equity %	9.2
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	9.2
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	13.0
Stage II Investment Rate %	20.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 05 May 2026

	USD Mil
Present Value Stage I	21,638
Present Value Stage II	91,578
Present Value Stage III	117,803
Total Firm Value	**231,019**
Cash and Equivalents	1,964
Debt	0
Other Adjustments	0
Equity Value	**232,983**
Projected Diluted Shares	1,266
Fair Value per Share (USD)	**190.00**

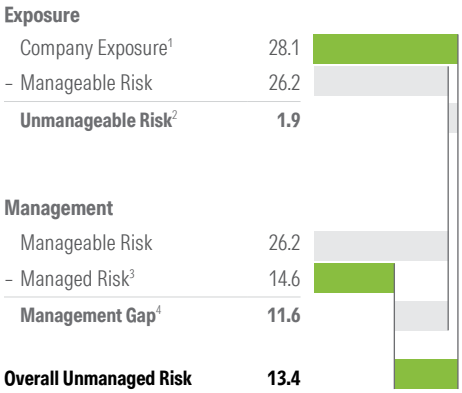
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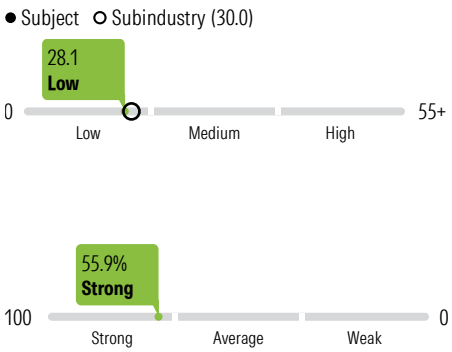
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ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of Jun 04, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Communications Equipment. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 55.9% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 04 Jun 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Arista Networks Inc	28.1 | Low	0	55+	55.9 | Strong	100	0	13.4 | Low	0	40+
Cisco Systems Inc	34.1 | Low	0	55+	75.6 | Strong	100	0	10.2 | Low	0	40+
NVIDIA Corp	30.2 | Low	0	55+	62.9 | Strong	100	0	12.4 | Low	0	40+
Fortinet Inc	32.7 | Low	0	55+	56.1 | Strong	100	0	15.6 | Low	0	40+
Hewlett Packard Enterprise Co	35.4 | Medium	0	55+	74.5 | Strong	100	0	10.9 | Low	0	40+

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Appendix

Historical Morningstar Rating

Arista Networks Inc ANET 5 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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★★	★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★

Cisco Systems Inc CSCO 5 Jun 2026 05:00, UTC

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Hewlett Packard Enterprise Co HPE 5 Jun 2026 05:00, UTC

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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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NVIDIA Corp NVDA 5 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★	★★	★★	★★	★★	★★★	★★	★★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

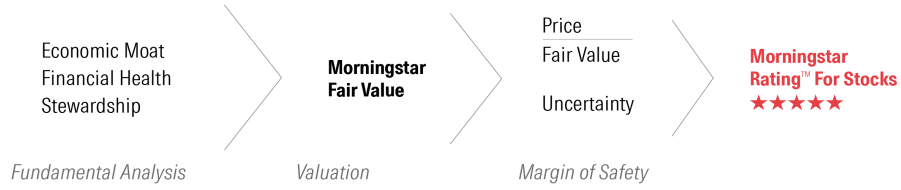
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

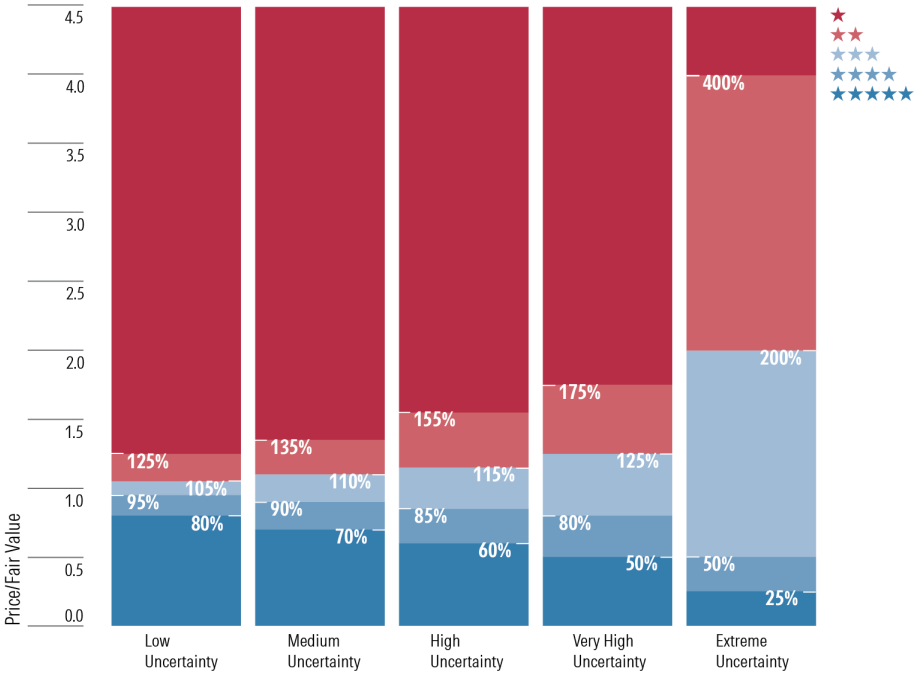
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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